

all your money in cash. If you are very wealthy or spend little, the figure might be less.

That cash would cover your expenses for the coming year. When that is all used up, you sell just a little of your investment portfolio to generate some more cash. That way, most of your money stays at work generating higher returns.

Income is usually taxed at higher rates than capital gains. So you may think this is just a tax effect. But even if the tax rates were identical, capital gains would still beat income over time. Yet, again, this is about the power of compounding.

Here is another example to illustrate the point. Say you have two investments that give the exact same pretax return but in different ways. The first investment—let's call it the "Payout"—gives you a 10 percent dividend every year and no capital gains. The second investment—let's call it the "Reinvest"—gives you no dividend, but 10 percent capital gains every year. The pretax return to you is the same in both cases. But the way you get it is different.

Now to keep things simple, let's assume dividends and capital gains attract the same tax of 40 percent. And let's say you put \$100 into the Payout and another \$100 in the Reinvest and hold on to them for 30 years. You're a long-term value investor, both look cheap, and you want to buy and hold for the long run.

After one year, you get \$10 in dividends from the Payout. You pay \$4 in tax, giving you \$6 net income, which you use to buy more Payout stock. You keep this up for 30 years, and at the end, you sell all your Payout stock. There have been no capital gains. You get back \$574, with no more tax to pay. Your profit is \$474.

The Reinvest doesn't pay dividends, but the stock price goes up 10 percent per year. So after one year, your \$100 investment is worth \$110. You stick with it for 30 years, adding 10 percent per year. At the end of those 30 years it's worth \$1,745. Then you sell it. But you have to pay tax at 40 percent on the rise in value. Your profit was \$1,645. So your tax bill will be \$658. This leaves you with \$1,087 and a profit of \$987.

What has happened here? Your profit from the Reinvest is more than double your profit from the Payout. How can two investments that both